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State says free rent won't last forever

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A statewide renter-protection program for residents who fell behind in their monthly payments expired last month. But action by the California Legislature will ensure that tenants facing a mountain of unpaid rent have until February 2021 to begin paying back their landlords.

When the economy collapsed in March, Gov. Gavin Newsom imposed a moratorium on evictions that lasted through the end of May. He twice extended the order, but the California Judicial Council—the state courts' policy-making body that backed Newsom's initial moratorium—voted to end the protections on Sept. 1.

The Legislature passed Assembly Bill 3088 in late August. The bill, which Newsom signed into law Aug. 31, extends the protections put into place by the state and its cities for renters who are struggling financially due to the pandemic. The bill introduces a timeline to help residents get back on track with their rent payments in hopes of heading off a deluge of evictions.

The City of Agoura Hills had passed its own moratorium on residential evictions, but with the passage of AB 3088 the city let that moratorium expire Sept. 30. Agoura Hills, like Calabasas and Westlake Village, are expected to conform their local laws to meet the guidelines set forth by the new Assembly bill.

"This is an extraordinarily complex issue. There's this looming tidal wave of potential evictions and homelessness hanging over us," said Assemblymember Jesse Gabriel (D-Woodland Hills), who voted in favor of AB 3088.

"People are in a really challenged position when the government is saying they can't go to work or operate their business but they're still expected to pay rent," said Gabriel, whose district includes Calabasas.

"On the other side, you have landlords, particularly small landlords, depending on that rent to pay their mortgage. The Judicial Council decided it was up to the elected government to solve this. They told the governor and Legislature they were going to let the moratorium expire, so we had to act."

On Oct. 5 the courts were allowed to resume evictions if tenants are unable to pay rent, including the payments they missed during the shutdown. But there's still breathing room for tenants.

With the passage of AB 3088, renters who have proven to landlords that their incomes have been affected by the pandemic, and who pay at least 25% of their rent from Sept. 1 to Jan. 31, 2021, will remain protected from eviction. After February, standard eviction rules will apply if a renter goes into arrears.

Gabriel said he and other legislators are looking to the federal government to provide financial relief to renters, many of whom are facing the same circumstances they were when the pandemic started.

"California went from a projected $6-billion surplus to a $54-billion projected deficit in a couple months. That's from a budget just over $200 billion. That's a huge hole," Gabriel said.

"We can't deficit-spend or print money the way Washington, D.C., can. People are really hoping there's going to be more significant relief from (the federal government) that could help address this issue in a more meaningful way."

Gabriel said his office has been flooded with calls from constituents asking for help obtaining their unemployment payments.

Meanwhile, shopping center and office building owners whose rental income has been slashed are concerned about the bank foreclosing on their properties.

"This bill also expands the homeowners' bill of rights to cover these mom-and-pop landlords. It's not fair to say, 'You don't have to pay rent' and then it falls on the landlords, and they're left holding the bag. A lot of them would go under, and that's not fair to them. They didn't cause this," Gabriel said.

Under AB 3088, small landlords are protected from foreclosure through Jan. 1, 2023.

Landlords have to prove their properties have no more than four dwellings and are occupied by tenants who are unable to pay rent because of the impact of the pandemic.

Ray Pearl, Westlake Village City Council member, is the executive director of the California Housing Consortium, a nonprofit organization that advocates for affordable housing. Pearl sees the bill as a balance between renters, landlords and the economic strain imposed by the pandemic.

"The position has been taken that in the middle of a pandemic that we didn't want people evicted from their homes for nonpayment, or from their businesses either. That wasn't a forgiveness of rent, it was to keep people from losing their homes and businesses overnight," Pearl said.

"At some point there has to be a balance between those who are either living in a rental property or renting from a business—the building still has to function. . . . We'll be watching that closely."

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